



RESEARCH & INSIGHTS HUB

Post-ETF Trading Themes

What are the next big themes in the post spot bitcoin ETF environment?

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The US Securities and Exchange Commission (SEC) officially approved 11 spot bitcoin ETFs in the US on January 10. Despite this being a watershed moment for the cryptoeconomy, we think institutional investors have over-indexed on the short-term impacts that these products may have. Consequently, market players may be missing out on other opportunities and themes that could be relevant in the post spot bitcoin ETF environment.

First, we believe a search for yield will rejuvenate interest in decentralized finance (DeFi) in 2024. Not only has (1) the “cash and carry” trade between bitcoin CME futures vs spot become less lucrative given the access to ETFs but (2) central banks in many G10 economies will soon begin cutting interest rates in earnest. We think this may unlock capital that will need a new home.

Second, we believe there’s room for ETH to play catch up to its peers in 1H24. Although there was some rotation into ETH after the launch of spot bitcoin ETFs, the momentum was arrested by liquidations from a large defunct crypto lender alongside pressure from the sale of ETH options. We’re optimistic that the potential approval of spot ETH ETFs may be a catalyst for new flows (which doesn’t seem to be priced in) but there’s no consensus on this.

Finally, bitcoin miners have represented an important source of BTC selling since early November 2023. We think the Bitcoin halving in April may negatively affect the economics around mining, potentially increasing the sell pressure on miners as margins narrow and less

excess profit can be retained in bitcoin. The impact of miner selling on markets, however, may not be immediate.

For more details, see our [full report](#).

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